

Ethiopian Government Budget Cycle Project

An Analysis with a Case Study on the Education Sector

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1. Introduction to the Ethiopian Budget Cycle

1.1 Overview of the Ethiopian Fiscal Year

The Ethiopian fiscal year runs from **July 8 to July 7** of the following Gregorian calendar year. This period is crucial for planning, executing, and evaluating government financial activities. The fiscal year serves as the foundation for all public financial management activities, providing a structured timeline for budgeting, resource allocation, and performance assessment.

The significance of the fiscal year lies in its role as a benchmark for financial accountability. By adhering to a consistent timeframe, the government ensures that revenues and expenditures are planned and monitored effectively, allowing policymakers to align financial resources with national development priorities (World Bank, 2021).

1.2 Role of the Ministry of Finance (MoF)

The Ministry of Finance (MoF) is the central institution responsible for overseeing the Ethiopian budget cycle. Its core functions include:

1. **Budget Preparation:** The MoF coordinates with all federal ministries and regional states to develop the macroeconomic and fiscal framework, setting revenue targets and expenditure ceilings.
2. **Policy Guidance:** It ensures that budget proposals reflect national development priorities and adhere to legal frameworks, including **Budget Proclamation No. 1263/2021**.
3. **Monitoring and Reporting:** The MoF supervises budget execution, consolidates financial reports, and presents these reports to the legislative body and other oversight institutions (IMF, 2022).
4. **Capacity Building:** The ministry provides training and technical support to government entities to strengthen public financial management and accounting practices.

By fulfilling these responsibilities, the MoF plays a pivotal role in ensuring that public resources are used efficiently, transparently, and in accordance with government priorities.

1.3 Importance of the Budget Cycle

The government budget cycle is a structured process that ensures **financial discipline, transparency, and accountability** in the management of public funds. Its importance can be summarized as follows:

- **Resource Allocation:** It helps prioritize spending on key sectors, such as education, health, and infrastructure.
- **Transparency and Accountability:** By enforcing reporting standards and oversight mechanisms, the budget cycle promotes responsible financial management (Federal Auditor General, 2022).
- **Policy Implementation:** The cycle links fiscal policy decisions to actual expenditures, ensuring that government programs are adequately funded and monitored.
- **Performance Evaluation:** Regular reporting and audits allow the government to assess whether financial resources are used effectively to achieve intended outcomes.

Overall, the Ethiopian budget cycle is a vital tool for **sustainable economic development**, facilitating alignment between policy objectives and financial execution.

2. Stages of the Ethiopian Budget Cycle

2.1 Budget Preparation

Budget preparation is the first and one of the most critical stages of the Ethiopian government budget cycle. It establishes the framework for allocating public resources efficiently and ensures that government priorities are properly funded.

2.1.1 Macro economic and Fiscal Framework

The budget preparation process begins with the development of the **macroeconomic and fiscal framework**. This framework provides a projection of the economy over the fiscal year, including expected economic growth, inflation, and revenue trends. The Ministry of Finance (MoF) coordinates with national statistical agencies, sector ministries, and regional governments to collect the necessary data (World Bank, 2021).

The macroeconomic framework serves as the foundation for estimating revenue and expenditure levels. It aligns the government's fiscal policy objectives with realistic expectations about resources, ensuring that spending commitments do not exceed anticipated revenues.

2.1.2 Revenue Forecasts and Expenditure Ceilings

A key aspect of budget preparation is determining **revenue forecasts**. The MoF uses historical tax data, economic indicators, and sectoral performance to estimate total government revenue for the upcoming fiscal year. These forecasts include revenues from taxes, non-tax sources, and grants.

Once revenue projections are finalized, **expenditure ceilings** are established. Each ministry or agency is assigned a ceiling that limits how much it can request for the upcoming year. This ensures that total planned expenditures remain within the government's projected fiscal capacity (IMF, 2022).

2.1.3 Allocation Between Recurrent and Capital Expenditures

After revenue forecasts and expenditure ceilings are determined, the MoF allocates the budget between **recurrent** and **capital expenditures**:

- **Recurrent Expenditures:** These include salaries, operational costs, and routine maintenance. They are necessary to keep government institutions functional.
- **Capital Expenditures:** These are investments in infrastructure, buildings, equipment, and other long-term development projects. Capital budgets are critical for advancing the country's development goals.

The allocation process considers sectoral priorities, past spending performance, and strategic development plans. For example, the Ministry of Education may receive a higher share of the capital budget to fund school construction and digital learning programs (Federal Auditor General, 2022).

2.2 Budget Approval

After the budget has been prepared, it moves to the **approval stage**, which ensures that the proposed expenditures and revenues are legally sanctioned and reflect national priorities.

2.2.1 Legislative Process

The budget approval process in Ethiopia involves a series of formal steps within the federal legislative framework. Once the Ministry of Finance finalizes the draft budget, it is submitted to the **Council of Peoples' Representatives (CoPR)**, the country's federal legislative body.

The legislative process includes:

1. **Review and Examination:** Parliamentary committees examine the draft budget in detail, assessing the alignment of proposed expenditures with government policies and development plans.
2. **Debates and Discussions:** Members of parliament debate the merits of specific allocations, suggest adjustments, and scrutinize revenue assumptions.
3. **Amendments:** The CoPR may propose amendments to improve fiscal discipline, ensure equitable resource distribution, or address sectoral needs.

4. **Approval:** After detailed deliberations, the budget is formally approved by the CoPR and signed into law by the Prime Minister, making it the legal basis for government spending (MoF, 2025).

2.2.2 Role of the Council of Peoples' Representatives

The **Council of Peoples' Representatives** plays a critical oversight role in the budget approval stage. Its responsibilities include:

- Ensuring that the proposed budget reflects the government's policy objectives and national priorities.
- Safeguarding against fiscal imbalances by scrutinizing revenue forecasts and expenditure proposals.
- Promoting transparency and accountability by reviewing sectoral allocations and funding justifications.
- Serving as a bridge between citizens and the government, representing public interest in budgetary decisions (World Bank, 2021).

CoPR's involvement guarantees that the budget is not merely a technical document but a tool that reflects democratic accountability and aligns public resources with societal needs.

2.3 Budget Implementation

Once the Ethiopian budget is approved by the Council of Peoples' Representatives, the **implementation stage** begins. This stage translates the legal budget into actionable expenditures and programs across federal and regional government levels.

2.3.1 Execution at Various Government Levels

Budget implementation involves distributing resources to **federal ministries, agencies, and regional states**. Each entity receives allocated funds according to the approved budget and must ensure expenditure is consistent with their assigned purpose.

Key features of budget execution in Ethiopia include:

- **Decentralized Implementation:** Regional governments and sectoral ministries (e.g., Ministry of Education) implement the budget according to their allocated funds, while adhering to federal guidelines (Federal Auditor General, 2022).
- **Program based Budgeting:** Expenditures are often linked to specific programs, projects, or activities to track outcomes effectively.

- **Cash Management:** The Ministry of Finance monitors the disbursement of funds to ensure liquidity is available when needed and that expenditure does not exceed approved allocations.

2.3.2 Monitoring and Control Mechanisms

Effective budget implementation requires **continuous monitoring and control**. Ethiopia has established several mechanisms to ensure that public funds are used efficiently:

- **Financial Reporting:** Ministries and regional governments submit regular reports to the MoF detailing actual expenditures versus planned allocations.
- **Internal Control Systems:** Ministries implement internal audits, checks, and approvals to prevent misuse of funds.
- **Performance Monitoring:** Government agencies track whether spending aligns with program objectives and outcomes (IMF, 2022).
- **Corrective Measures:** If discrepancies or inefficiencies are detected, the MoF can issue instructions or adjust future allocations to maintain fiscal discipline.

Through these measures, Ethiopia ensures that the budget is not only legally executed but also effectively managed to achieve development objectives, particularly in critical sectors such as education and health.

2.4 Budget Reporting and Oversight

The final stage of the Ethiopian budget cycle is **reporting and oversight**, which ensures transparency, accountability, and compliance with legal and policy frameworks. Effective reporting allows both government authorities and the public to monitor how public funds are used.

2.4.1 Reporting Requirements for Government Expenditures

Ethiopian law mandates that all government ministries, agencies, and regional states submit **regular financial reports** to the Ministry of Finance (MoF). These reports typically include:

- **Expenditure Statements:** Details of actual spending compared to approved budget allocations.
- **Revenue Reports:** Records of revenues collected, including taxes, fees, and grants.
- **Cash Flow Reports:** Information on the availability and utilization of funds.
- **Program Performance Reports:** Assessment of whether spending achieved the intended outputs and outcomes (World Bank, 2021).

The MoF consolidates these reports into **federal budget execution reports**, which are submitted to the Council of Peoples' Representatives for review. Reporting is crucial for identifying overspending, inefficiencies, or underutilization of resources.

2.4.2 Role of Oversight Bodies

Oversight bodies play a critical role in ensuring that the Ethiopian budget is executed transparently and responsibly:

- **Federal Auditor General (FAG):** Conducts independent audits of ministries and agencies, verifying the accuracy and legality of expenditures (Federal Auditor General, 2022).
- **Parliamentary Committees:** Review budget execution reports, question spending authorities, and make recommendations for corrective actions.
- **Civil Society and Media:** Encourage public accountability by monitoring budget performance and raising concerns about irregularities or inefficiencies (IMF, 2022).

Through these oversight mechanisms, Ethiopia strengthens **public financial management**, enhances trust in government institutions, and ensures that resources, particularly in priority sectors like education, are used efficiently.

3. Accounting Practices in the Budget Cycle

Accounting plays a critical role in Ethiopia's public financial management system. It ensures that government revenues, expenditures, assets, and liabilities are properly recorded and reported throughout the budget cycle. In recent years, Ethiopia has conducted major reforms to improve the transparency, reliability, and comparability of public sector financial information. One of the most important reforms is the shift from a traditional single-entry system to a modern double entry accounting framework that aligns with international standards.

3.1 Accounting Methods in the Ethiopian Public Sector

3.1.1 The Traditional Single Entry Accounting System

Historically, Ethiopian public institutions used a **single entry, cash-based accounting system**. Under this method:

- Only **cash inflows and outflows** were recorded.
- No recognition of assets, liabilities, or commitments.
- Financial reports were limited to basic receipts and payments.

- Government entities could not produce full financial statements such as balance sheets or income statements.

While this system was simple and inexpensive, it lacked the capacity to support modern public financial management needs. It also made it difficult for oversight bodies to assess the government's fiscal position or evaluate how effectively public resources were being managed.

3.1.2 Transition to the Double Entry Accounting System

To modernize public sector accounting, the Government of Ethiopia launched reforms aligned with the **International Public Sector Accounting Standards (IPSAS)**. Under the double entry system:

- Every transaction has **two sides** (debit and credit).
- Financial statements include:
 - Statement of financial position
 - Statement of financial performance
 - Cash flow statement.
 - Notes and disclosures
- Revenue and expenditure are recorded more comprehensively.
- Non-cash items (assets, liabilities, depreciation, receivables, payables) are recognized.

The transition is part of broader reforms in:

- Budget transparency
- Financial reporting
- External auditing
- Public expenditure management

This shift enhances accountability and brings Ethiopia closer to global standards used by many developing and developed countries.

3.2 Challenges and Benefits of Accounting Practices

3.2.1 Challenges in Adopting Double Entry Accounting

Even though the reform is crucial, several difficulties limit its full implementation:

a. Limited Technical Capacity

Many federal, regional, and woreda level offices lack professionals trained in:

- IPSAS
- Double entry bookkeeping
- Advanced financial reporting

This skill gap slows the transition process.

b. Technological Limitations

Financial reporting systems such as IBEX require:

- Reliable electricity
 - Stable internet
 - Adequate computer hardware
- These are not consistently available across all regions.

c. Resistance to Change

Some public employees prefer the simpler single-entry method because:

- The new system increases documentation.
- It requires additional training.
- It introduces new responsibilities.

This creates institutional resistance during implementation.

d. Budgetary and Resource Constraints

Transitioning to double entry requires:

- Training programs
- New software systems
- Continuous technical support

Some administrative bodies struggle to secure sufficient funds for these requirements.

e. Uneven Implementation Across Government Levels

Federal institutions progress faster than regional bureaus and woreda offices. This inconsistency leads to:

- Delays in consolidated reporting

- Differing accounting quality across institutions

3.2.2 Benefits of Adopting Double Entry Accounting

Despite the challenges, the benefits of the new accounting system are substantial:

a. Greater Transparency and Accountability

Double entry records generate clearer financial information, making it easier to detect:

- Errors
- Misuse of funds
- Irregular expenditures

This strengthens financial oversight and combats corruption.

b. Improved Financial Reporting Quality

Government institutions can now prepare:

- Balance sheets
- Statements on financial performance
- Cash flow statements.

These enhance fiscal visibility and support informed policymaking.

c. Alignment with International Standards (IPSAS)

Using IPSAS compliant accounting improves Ethiopia's credibility with:

- Donors
- International financial institutions
- Development partners

It also facilitates better audit practices.

d. Better Budget Execution Monitoring

The double entry system allows ministries and agencies to track:

- Budget variances
- Unspent balances
- Expenditure deviations

This helps the Ministry of Finance enforce budget discipline.

e. Stronger External and Internal Audits

A complete audit trail enables the Federal Auditor General and internal auditors to perform:

- More accurate
- More comprehensive
- More timely
- audits across government bodies.

4. Case Study: Education Sector

4.1 Budget Allocation vs. Actual Expenditure

To assess the performance of the education sector in Ethiopia, it helps to compare the **allocated budget** with reported **spending and outcomes**. The most recent data available provides insight into both nominal allocations and real (inflation adjusted) trends, which reflect actual purchasing power and hence better approximate realized expenditure value.

Recent Allocation Trends

- According to the latest national “Education Budget Brief,” the total national education budget in fiscal years 2019/20 through 2023/24 rose from ~ 110,066.93 million ETB to ~ 200,421.80 million ETB. ([UNICEF](#))
- Within that, the recurrent education budget increased over the same period (from ~ 80,686.08 million ETB to ~ 159,685.14 million ETB). ([UNICEF](#))
- The capital (or “capital education”) portion also saw allocations: e.g., in 2020/21 capital was ~ 29,380.85 million ETB and in 2023/24 was ~ 40,736.66 million ETB. ([UNICEF](#))
- For 2024/25, recent data show that the education budget was set at **238 billion ETB**, representing a 19% increase from 2023/24. ([UNICEF](#))
- However, despite such nominal increases, the “real value” (i.e., adjusted for inflation) of the education budget, compared to 2020/21 as a base, had declined over recent years until 2024/25, where a modest increase of 1.3% relative to 2023/24 was recorded. ([UNICEF](#))

What “Actual Expenditure / Real Value” Suggests

This pattern shows a key challenge: while nominal allocations rose, inflation and broader economic pressures eroded the real spending power over time. For example:

- From 2020/21 to 2024/25, despite a ~73% increase in nominal allocation, the real value fell by ~34% before a small rebound in 2024/25. ([UNICEF](#))

- This suggests that many of the earlier budget increases may not have translated into proportionally increased services or investments once inflation is considered.

Limitations on “Actual Expenditure” Data

It is important to highlight constraints:

- Publicly available sources (like the Education Budget Brief) report **allocations** not always **realized expenditure** line by line. That means “actual expenditure per program or per capital vs recurrent line” is rarely fully publicly disaggregated.
- Reported “capital education budget” does not guarantee full execution, capital projects (e.g., school construction, infrastructure) often suffer from delays, procurement issues, or partial funding, meaning not all allocated funds are spent in the same fiscal year.
- Inflation, currency devaluation, exchange rate fluctuations, and recurrent budget pressures (e.g., salaries, operational costs) reduce real purchasing power and limit the effective use of funds.

Because of these limitations, it is difficult to compute an accurate “budget allocation vs. actual expenditure” ratio for recent years with high confidence, especially at a disaggregated level (recurrent vs capital, or by sub sector such as primary, secondary, higher, etc.).

4.2 Analysis of Discrepancies (Allocation vs Real Value / Execution Challenges)

Based on the data and known contextual issues, several discrepancies and concerns emerge in the education sector’s funding and expenditure:

a) Real Value Erosion

- The significant drop in real value over years indicates that despite higher nominal budgets, actual purchasing power declined, undermining the ability to build infrastructure, maintain schools, procure learning materials, or improve teacher conditions.
- This erosion disproportionately affects capital expenditure, which tends to involve larger costs and is sensitive to price inflation (construction materials, infrastructure, etc.).

b) Risk of Under Execution of Capital Budget

- Given challenges in procurement, cash flow, and institutional capacity (as discussed earlier in Section 2 and Section 3), large portions of capital allocations may remain unspent or get delayed, meaning that physical infrastructure, expansion, and maintenance may lag needs.

- This creates a gap between “on paper” commitments and “on the ground” reality, especially in rural or underserved areas.

c) Disproportionate Emphasis on Recurrent Spending

- The rising recurrent budget (salaries, operations) suggests a growing share of the education budget goes to maintaining existing personnel and system operation rather than expansion or quality improvement.
- This may limit ability to invest in new schools, equipment, learning materials, or other capital-intensive improvements, especially amid declining real value.

d) Limited Transparency & Data Availability

- Public reports aggregate data (national totals) but seldom provide detailed breakdowns of executed vs. allocated funds for each sub program (primary, secondary, higher education, infrastructure).
- Without detailed actual expenditure reports, it is difficult for oversight bodies, civil society, or researchers to assess efficiency, identify underutilization, or propose data driven reforms.

e) Macroeconomic and External Pressures

- Inflation and currency instability reduce real value of allocations, but they also increase project costs and procurement expenses, making it more expensive to implement capital projects.
- Economic strain may force reallocation or cuts in capital budgets in favor of essential recurrent items (e.g., salaries), compromising long-term investment in education.

4.3 Recommendations to Improve Transparency and Efficiency

Given the analysis above, here are two key recommendations for improving the education sector’s budget transparency and expenditure efficiency:

Recommendation 1: Strengthen Public Reporting & Disaggregation of Expenditure Data

- The government (through the Ministry of Education (MoE) in collaboration with the Ministry of Finance (MoF)) should publish **detailed, disaggregated expenditure reports** for the education sector, showing allocated vs. actual expenditures by sub sector (primary, secondary, higher), and by recurrent vs capital.
- This would enable oversight bodies, researchers, and civil society to track execution rates, identify delays or underutilization, and hold responsible agencies accountable.

- Regular publication (e.g., quarterly) would support transparency, facilitate audit and evaluation, and inform policy adjustments.

Recommendation 2: Adjust Budgets for Inflation & Ensure Real Value Protection

- Budget allocations, especially capital allocations, should be adjusted periodically for inflation and currency fluctuation to preserve **real purchasing power**.
- The government could establish a "**real value stabilization buffer**," earmarked extra funds when inflation is high, or index key budget lines (construction, materials, infrastructure) to inflation or exchange rate indices.
- This ensures that capital investments (school building, equipment, infrastructure) maintain their value and are not undermined by macroeconomic volatility.

5. Conclusion

The Ethiopian government budget cycle plays a significant role in guiding national development priorities, ensuring efficient public spending, and supporting long-term socio-economic growth. As outlined in this report, the budget cycle is a structured process comprising preparation, approval, implementation, reporting, and oversight, each supported by legal frameworks, public financial management (PFM) systems, and institutional checks and balances.

The Ministry of Finance (MoF) leads the coordination of macro fiscal analysis, revenue forecasting, and expenditure ceiling formulation during the preparation stage. The legislative approval process, involving the Council of Peoples' Representatives, ensures that national priorities align with public interests and constitutional mandates. Effective budget implementation depends on the collaboration of federal, regional, and local institutions, guided by financial regulations, electronic systems like IBEX, and regular monitoring mechanisms. Reporting and oversight by bodies such as the Federal Auditor General, parliamentary committees, civil society, and the media enhance transparency and accountability.

The transition to double entry accounting demonstrates Ethiopia's progress toward international public sector accounting standards (IPSAS). Although challenges such as limited capacity, technological gaps, and inconsistent implementation persist, the benefits including improved transparency, better reporting, and stronger audit trails, significantly strengthen public financial management.

The Education sector case study highlights a key challenge: even though nominal budget allocations have increased in recent years, real expenditure capacity has been reduced by inflation, macroeconomic pressures, and capacity limitations. Differences between budget allocation and actual spending (or real value) illustrate the need for better data transparency, stronger execution of capital budgets, and improved financial planning. The recommended measures, enhanced public reporting and inflation adjusted budgeting, aim to strengthen efficiency, protect real value, and promote better outcomes in the education sector.

In conclusion, Ethiopia's budget cycle is a critical tool for managing public finances and delivering essential services. Continued reforms in accounting practices, improved oversight, and sector specific financial transparency can significantly enhance the effectiveness of the budget in addressing national development goals, particularly in priority sectors such as education.

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